

strength or weakness. Frequently, the implied trade may be to trade one correlated market versus another. For example, if two markets are positively correlated, Benedict may short the market that seems overextended, using a long in the correlated market as a hedge. The timing of such paired long and short positions will not necessarily be simultaneous, either on entry or exit, and will depend on the prevailing price levels of each market relative to its expected range. In short, to say that Benedict uses market correlations as a key input is only the beginning. The selection and implementation of actual trades will be highly variable, depending on multiple considerations and past experience. The process is entirely discretionary, rather than formulaic.

The relevant lesson for traders is that the price action of other markets can contain useful information—Benedict's track record stands as a testament to this proposition. How this information can be used, however, must be discovered and developed by each individual trader based on personal observation and trading style. The message for traders is to be cognizant of how markets move relative to each other and to determine whether this source of observation can lead to useful trading ideas.

Benedict serves as a model for extreme risk management. There are two key aspects of Benedict's risk management approach. First, he limits portfolio risk to a small fixed amount (2.0 to 2.5 percent) before he responds with actions to mitigate further losses. Second, when this small drawdown threshold is approached, he reduces his position size and continues to trade smaller until he begins to be profitable again. A 2.5 percent portfolio risk level may be overly restrictive for many traders, but the key concept of setting a predefined loss point at which risk exposure is significantly reduced has widespread applicability. Also, reducing exposure when trading is not going well—an inherent component in Benedict's risk management approach—is generally a wise action for discretionary traders. (For systematic traders, however, reducing exposure after losses may lead to poor timing of position sizing.) The type of rigorous risk control practiced by Benedict may be as difficult for most traders to follow as the Ornish diet is for those trying to lose weight, but it can certainly be highly effective in avoiding significant losses.

Mark Rossano, who was given a small portfolio to manage while he was an intern at Banyan Capital, recalls Benedict's obsession with risk